

Executive Summary

This study analyzes the factors influencing customer churn in the banking sector using Exploratory Data Analysis (EDA) on customer demographic, financial, and behavioral data. The objective is to identify patterns associated with customer attrition and derive insights that can support evidence-based policymaking and strengthen financial sector stability.

The analysis indicates an overall customer churn rate of **20.37%**, suggesting that a significant proportion of customers discontinue their relation with banks. Here, higher churn is observed among **female** customers within the age bracket of **46-60** years old. Further, financially , customers with **high balance** account and estimated salaries churn more causing overall revenue loss of **18.3 million euros**. Moreover, behaviorally inactive customers or with single banking products are at a higher risk to churn. Geographic variations in churn also indicate that customer retention challenges differ across regions.

These findings are essential to ensure **financial inclusion** and scale of **welfare programs**. As most programs include direct benefit transfer because it is more secure and avoids fraudulent beneficiaries. Further, **increasing banking habit** also increases money supply which eventually lowers interest rate and allows businesses to expand and create jobs, thus **increasing economic growth**.

Hence, the study suggests using predicative analysis to customer churn , monitor patterns and implement necessary policy changes. Such measures can contribute to a more resilient, inclusive, and competitive banking ecosystem while protecting consumer interests and supporting sustainable economic growth.